Case Study: Ransomware Attack on CDK Global (2024)

Ransomware is a form of malware that encrypts a victim's files and demands a payment (ransom) in exchange for the decryption key. Modern "double extortion" attacks also involve stealing sensitive data and threatening to leak it publicly.

How the Crime Happens (Step-by-Step)

In June 2024, the **BlackSuit** ransomware group targeted **CDK Global**, a major software provider for car dealerships. The attack followed a typical lifecycle:

1. **Initial Access:** Attackers likely gained entry through a compromised credential or a phishing email, allowing them to bypass the perimeter.
2. **Reconnaissance & Lateral Movement:** Once inside, the hackers spent time mapping the internal network to identify "crown jewel" data and backups.
3. **Exfiltration:** Before locking the systems, the attackers stole sensitive corporate and customer data to use as leverage.
4. **Encryption:** The ransomware was deployed across thousands of servers, instantly disabling the software that 15,000+ dealerships relied on for sales, financing, and repairs.
5. **The Demand:** A ransom note appeared on screens, reportedly demanding tens of millions of dollars in cryptocurrency.

Targets and Consequences

The primary targets were **B2B service providers** whose downtime causes massive ripple effects. Because CDK Global provides the "backbone" for the automotive industry, the consequences were severe:

- **Operational Paralysis:** Dealerships across North America were forced to revert to paper and pen, delaying car deliveries and service appointments for weeks.
- **Financial Loss:** The incident resulted in an estimated **$1 billion** in collective losses for the affected dealerships.
- **Reputational & Legal Damage:** CDK Global reportedly paid a **$25 million ransom** to restore services, though they still faced numerous class-action lawsuits over the exposure of consumer data.

Source: *Bloomberg, "CDK Global Hackers Demanded Tens of Millions in Ransom," June 2024.*